- *There is a market failure, and the objectives of policymakers were sound, but the design of the intervention was wrong:* In some situations, the identification of a market failure is correct but the intellectual clarity was lacking, and hence the wrong interventions were chosen. An example of this is the Delhi government's odd–even initiative, where half the cars were sought to be taken off the roads every day, in order to improve air quality.
- *There is a market failure, the correct intervention was attempted, but the implementation failed:* The leadership thought of the right thing, e.g., mosquito control, but was not able to execute it.

This four-part thinking is more useful than the more conventional classification scheme of 'political economy problems' versus 'state capacity problems'. It is also more useful than the concepts of 'first generation reforms' (simple stroke of the pen reforms) versus 'second generation reforms' (those that require the construction of state capacity).

The obstacle course of public policy

The three key steps in policy thinking are:

1. *Are we facing a market failure?* If not, there is no role for the state.
2. *Does the proposed intervention address this market failure?* Sometimes, we see proposed solutions which do not address the claimed problem.
3. *Do we have the ability to effectively implement the proposed intervention?* Many times, an idea might be sound but, under present capacity constraints, the implementation of the proposed intervention may be infeasible.

There is a vast unfinished agenda, in India, of market failures where not enough work has been done. The justice system should be the first priority